Rs. 250 Venture

A Paan-Wala.

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Assignment – 1

Venture Experiment Report

PJ12X_ASMT1_KunshSumitAgarwal_25120525

1. Introduction

As part of the ₹250 venture challenge, I was required to conceptualize, plan, execute, and document a micro-business within a 30-minute operational window. The objective was to understand real-world entrepreneurship through practical exposure — including investment decisions, transactions, revenue generation, customer interaction, and reflection on learning.

After brainstorming multiple low-investment ideas, I chose to launch a **homemade Laddu Paan venture**.

2. Idea Generation Using Creative Frameworks

During brainstorming, I applied structured thinking inspired by creative problem-solving frameworks:

2.1 Constraint-Based Innovation

The key constraints were:

- ₹250 budget
- 30-minute selling window
- No permanent stall
- Must generate measurable revenue

Instead of seeing constraints as limitations, I treated them as **design inputs**.

2.2 Experience-Centric Thinking

I realized:

- Paan is a post-meal dessert.
- Emotional + cultural connect.
- Low production cost.
- High perceived premium value if presented well.

2.3 Distribution Innovation

Initially, I had two options:

1. Put up a stall and wait for customers.
2. Actively approach customers.

I chose **active selling (mobile distribution)** because:

- Time was limited to 30 minutes.
- Customer acquisition had to be aggressive.
- Roaming expands market access.

This was my first strategic pivot.

3. Location Selection Strategy

I shortlisted two high-footfall locations:

1. 5th Avenue Road, Sainikpuri (café hub)
2. My primary degree college during lunch hour

Why I Rejected College:

- Students price-sensitive.
- Canteen offers full meals for ₹40.
- Dessert at ₹20 already available.
- 20g laddu at ₹20 might not appeal.

Why I Chose 5th Avenue Road:

- People finish dinner around 8 PM.
- Dessert purchase psychology stronger.
- Higher spending capacity.
- Family groups present.

Time Selected: 8:00 PM – 8:30 PM
This aligns with dessert consumption behaviour.

4. Product Selection: Why Laddu Paan?

Reasons:

- Cultural familiarity
- Low production complexity
- High margin potential
- Easy sampling
- Portable
- No refrigeration required
- Premium perception with silver coating

Additionally, my sister had previously sold 200 Laddu Paan at a college event, validating proof of demand.

5. Procurement & Negotiation

Total Raw Material Cost: ₹250.26

Key items included:

- Gulkand
- Coconut
- Tuti Fruti
- Paan leaves
- Supari
- Honey
- Silver sheet

- Zip locks
- Dry fruits

Negotiation Example 1 – Paan Leaves

Vendor 1: 6 leaves for ₹10
I negotiated 20 leaves for ₹15 → Rejected
Vendor 2: 12 leaves for ₹10
I explained:

- Student project
- Budget constraints
- Social learning initiative

He agreed to 20 leaves for ₹15.

Lesson: **Storytelling improves negotiation power.**

Negotiation Example 2 – Zip Locks

Original price: ₹40 for 80
Negotiated price: ₹35 for 80

Savings through negotiation directly improved margins.

6. Production Process

After procurement:

1. Measured ingredients using kitchen weighing scale.
2. Followed YouTube guidance.
3. Took recipe suggestions from my mother.
4. Mixed ingredients in correct proportion.
5. Prepared 27 Laddu Paan balls.
6. Applied silver sheet for premium look.
7. Used gloves for hygiene.
8. Packed 24 in zip locks.
9. Kept 3 for sampling.

Production was documented carefully to track cost allocation.

7. Pricing Strategy

Selling Price:

- ₹20 per piece
- ₹50 for bundle of 3

Why bundle pricing?

- Improves average transaction value.
- Psychological saving (₹10 discount).
- Encourages group purchase.

This was a strategic upselling technique.

8. Sales Execution Model

Team:

- Myself (Pitch & customer acquisition)
- Lakshman Choudhary (Sampling + UPI collection)

Operational Structure:

- I approached customers.
- Delivered pitch.
- Offered sample.
- Closed sale.
- Lakshman handled payment.

This division of labor improved efficiency.

9. Sales Pitch

"Good Evening Sir/Madam, I am Kunsh Agarwal, a UG student from IIMB. I have been assigned a project to start a venture with minimal investment. I have prepared homemade Laddu Paan — a popular post-dinner mouth freshener. I request you to please taste the sample and decide whether you would like to purchase."

This pitch established:

- Credibility
- Transparency
- Emotional appeal
- Social validation

10. Operational Data (30 Minutes)

Time: 8:00 PM – 8:24 PM
Total approached: 13 groups/individuals

Conversions:

- 7 bought bundle of 3 → 21 units
- 3 bought 1 piece → 3 units
- 3 rejected (did not consume paan)

Total Sold: 24 units
Remaining 3 used for sampling.

11. Revenue & Profit Calculation

Revenue:

7 bundles × ₹50 = ₹350
3 singles × ₹20 = ₹60

Total Revenue = ₹410

Investment = ₹250.26

Profit = ₹410 – ₹250.26
Profit = ₹159.74

Profit Margin ≈ 39%

Within 24 minutes, the venture generated 63.8% return on capital.

12. Business Process Mapping

1. Idea generation
2. Feasibility analysis
3. Location selection
4. Procurement
5. Negotiation
6. Production
7. Packaging
8. Pricing strategy
9. Team allocation
10. Customer acquisition
11. Sampling
12. Sales closing
13. Payment collection
14. Profit analysis
15. Reflection

This was a complete micro-enterprise cycle.

13. Key Observations

1. Millennials & older customers more likely to purchase.
2. Gen Z hesitant unless buying for parents.
3. Group targeting increases conversion rate.
4. Sampling increases trust.
5. Active selling better than passive waiting.
6. Time optimization critical.
7. Bundling increases revenue per customer.
8. Presentation increases perceived value.

14. Execution Decisions That Impacted Results

- Choosing roaming model over stall
- Choosing high-spending location
- Selecting dessert category

- Silver coating for premium perception
- Bundle pricing
- Sampling strategy
- Targeting groups
- Negotiation to reduce cost

15. Learnings & Reflection

1. Sales Is About Courage

Approaching strangers builds confidence.

2. Negotiation Is Story + Logic

Explaining the project helped secure better pricing.

3. Distribution Model Matters More Than Product

Active selling enabled full sell-out in 24 minutes.

4. Presentation Drives Value

Silver sheet + clean tray increased perceived quality.

5. Customer Psychology

Older demographic had higher acceptance.

6. Time Efficiency

Limited window forces sharper focus.

7. Unit Economics Matter

Bundle pricing increased revenue by ~15–20%.

16. What I Would Improve

- Improve branding (small printed label)
- QR code stand for faster payment
- Uniform apron for trust
- Small placard explaining “Student Venture Project”
- Pre-identify 2–3 high-density clusters

17. Conclusion

This venture demonstrated that entrepreneurship is not about scale — it is about execution, speed, psychology, negotiation, and customer engagement.

With an investment of ₹250.26, I generated ₹410 in 24 minutes, earning a profit of ₹159.74.

More importantly, I experienced:

- Real customer rejection
- Real negotiation
- Real selling pressure

- Real unit economics
- Real-time business decision making

This assignment transformed theoretical understanding into practical insight.

Appendix

ITEM	Rs.	Qty (g)	Consumed (g)	Cost
Gulkand (Rose)	120	400	165	49.50
Coconut	350	1000	45	15.75
Tuti Fruti	19	100	50	9.50
Paan Leaves	15	20	20 leaves	15.00
Red Masala	75	150	30	15.00
Supari	75	150	50	25.00
Somph	200	1000	5	1.00
Laung			1	1.00
Elaichi Powder			0.5	0.50
Kismis	400	1000	50	20.00
Dates	95	200	50	23.75
Honey	700	1000	40	28.00
Flavouring Agent			1	1.00
Cashew Nut	380	1000	30	11.40
Dry Paan	170	250	27	18.36
Silver Sheet	5	5	5	5.00
Zip Lock	35	80	24	10.50
				250.26